in the first quarter has yet to get broad-based but is likely to be sustained, given the nature of the pockets witnessing an uptick, Sabnavis adds.

But the green shoots need to be viewed in context. Private corporate investment has remained sluggish despite strong corporate balance sheets and robust public infrastructure spending. Recent media reports have pointed to corporate profits significantly outpacing fixed-asset investment in the post-pandemic recovery period (*see charts*). According to a working paper by the Economic Advisory Council to the Prime Minister (EAC-PM), released on August 12, aggregate Profit Before Interest and Tax surged by 21.4 per cent in FY24, whereas Gross Fixed Assets—acting as a proxy for fixed-asset investment—grew by only 6 per cent. The median return on assets across companies studied by the council climbed from 4.4 per cent in FY21 to 7.2 per cent in FY24. The study concludes that companies have successfully extracted higher returns and stronger profitability from assets they already own, rather than relying heavily on fresh capital expenditure.

Private investment has been going downhill since 2012, when a series of scams that hit the then UPA government led to the so-called period of policy paralysis, say experts. Since then, the private sector has struggled to revive its appetite for investment. In 2022, Union finance minister Nirmala Sitharaman compared India Inc. to the mythological character Hanuman, questioning why domestic industries remained hesitant to step up investment and manufacturing despite strong economic fundamentals. In September 2019, the NDA government slashed the basic corporate tax rate for domestic companies from 30 to 22 per cent to boost private investment and revive economic growth. But the move has done little to change the situation on the ground.



“Those related to infrastructure like data centres, AI, power, oil and metals are seeing a lot of interest. We have yet to see a similar pattern for consumer goods, where there is excess capacity”

MADAN SABNAVIS
Chief Economist, Bank of Baroda



“Although there has been a 25% rise in sales growth, the cost of raw materials has gone up by 40-45%. In a context where gross margin is shrinking, there is no motivation for companies to go into large capex growth”

DHANANJAY SINHA
CEO and Co-head, Institutional Equities, Systematix Group

THE MISSING PUSH

Crisil’s Joshi says corporate balance sheets are quite healthy, and the debt-to-equity ratio of mid-to-large corporates is very low, which means that they have the ability to invest. “However, their willingness is not matched by their ability to undertake investment,” he says. There are several reasons for this. One is the uncertain environment caused by geopolitical tensions, which lead to delays in investment decisions. The other is Chinese competition, both in the domestic and international markets, where Indian companies will need to be extremely competitive to survive. “India will also need to deregulate faster now, since the global environment is pretty tough and uncertain. While the free trade agreements (FTAs) will allow you to get some market share, you don’t know how competitive you are. So it’s time to look at more reforms both at the central and state levels that will make it less cumbersome to do business,” he says. “We have to fire our productivity, our competitiveness and R&D.”

But the pressure on private investment is coming from within companies too. Dhananjay Sinha, CEO and co-head, institutional equities, Systematix Group, a financial services platform, says that corporates are disincentivised by rising input costs. “Although there has been a 25 per cent rise in sales growth, the cost of raw materials has gone up by 40-45 per cent,” he says. “In a context where gross margin is shrinking, there is no motivation for companies to go into large capex growth.” As for the rising credit growth referred to by several analysts—bank credit growth hit a nearly 25-month high of 18.6 per cent in June, with core non-food credit expanding 18.3 per cent, signalling stronger lending activity across the economy. Sinha says this points to worsening operating cash flow for companies, especially those in the manufacturing sector, due to the rising raw material prices.

Although there is some activity in new-age sectors such as data centres and renewable energy, these may not be large job creators. Moving the needle substantially on private investment will continue to remain a major challenge for the Modi government. ■